Competing or complementary? Chinese loans and international bonds in Sri Lanka's default

SHAHAR HAMEIRI AND UMESH MORAMUDALI*

Since the early 2000s, China has become the world's biggest bilateral development finance provider. For many, China is unlike other providers—it poses a normative and programmatic challenge to the West's neo-liberal development model. Rising geopolitical tensions between China and the United States have only reinforced this perception, as this special section's introduction notes.[1]

China's development financing—mainly sovereign loans for infrastructure megaprojects[2]—is often contrasted not only with traditional financing from western states and multilateral development banks (MDBs), but also with sovereign borrowing on international bond markets, which has likewise increased dramatically over the same period.[3] Traditional development agencies have actively encouraged developing countries' bond issuance,[4] seeing bonds as transparent, market-based instruments that support responsible lending and borrowing and incentivize good economic governance.[5] Conversely, Beijing's proponents have argued that markets' short-termist, profit-maximizing behaviour is unsuited for developing countries' needs for stable long-term investment.[6] The projects

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1 See the introduction to this special section: Fabian Pape, Johannes Petry and Lena Rethel, 'How does the rise of Asia reshape international financial affairs?', *International Affairs* 101: 5, 2025, pp. 1553–65, https://doi.org/10.1093/ia/iiaf146.

2 Axel Dreher et al., *Banking on Beijing: the aims and impacts of China's overseas development program* (Cambridge, UK: Cambridge University Press, 2022), https://doi.org/10.1017/9781108564496.

3 Shahar Hameiri and Lee Jones, 'China, international competition and the stalemate in sovereign debt restructuring: beyond geopolitics', *International Affairs* 100: 2, 2024, pp. 691–710, https://doi.org/10.1093/ia/iiae017.

4 Carolyn Bassett, 'Africa's next debt crisis: regulatory dilemmas and radical insights', *Review of African Political Economy* 44: 154, 2017, pp. 523–40, https://doi.org/10.1080/03056244.2017.1313730.

5 Ilias Alami et al., 'International financial subordination: a critical research agenda', *Review of International Political Economy* 30: 4, 2023, pp. 1360–86, https://doi.org/10.1080/09692290.2022.2098359.

6 Tang Xiaoyang, *Jīn róng zī běn de xiàn jing: guó jì zhài quàn duì fā zhan zhōng guó jiā zhu quán zhài wù kě chí xù xìng de ying xiang* [The trap of financial capital: the impact of international bonds on sovereign debt sustainability

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that Chinese banks finance are furthermore said to improve an economy's productivity and connectivity, enabling higher future growth rates that offset current debt pressures.[7] Moreover, while Chinese lenders typically charge higher interest rates and provide shorter maturities than MDB loans, they demand fewer conditionalities and deliver quick approval and construction times.[8] The perception that China provides an alternative, competing model is reinforced by studies claiming that different political regime types or domestic political economy models favour different external financing options.[9] As many countries in the global South have entered debt distress, this debate has intensified.[10] China's critics blame its opaque lending practices for the debt problems,[11] some even accusing China of 'debt-trap diplomacy'.[12] Its defenders blame debt distress on irresponsible bond-market lending.[13]

In response, we make two arguments. First, southern regimes view Chinese loans and international sovereign bonds as *complementary*, rather than competitive forms of financing, harnessing both to pursue their ruling coalitions' interests. Second, the two are not independent alternatives, but are interactive forms of borrowing: Chinese lending is ultimately dependent on borrowers' US dollar income, which often requires bond-market lending. Chinese megaprojects increase borrowers' demand for dollars, directly and indirectly. This must be met via other sources, often through borrowing on bond markets, which increases borrowers' exposure to the impacts of US monetary policy decisions, rather than reducing it, illustrating their—and China's—subordinate position in the international financial system. In this context, rising borrowing costs may jeopardize both borrower regimes' survival and their capacity to repay external creditors, including China.

We demonstrate these claims via the pivotal case of Sri Lanka, whose 2022 sovereign default generated a creditor blame game, intensified by its portrayal as a victim of Chinese 'debt-trap diplomacy'. Sri Lanka's government, under former President Mahinda Rajapaksa, borrowed heavily from China and international bond markets to serve different aspects of Rajapaksa's ruling coalition's needs and strategy. Upon attaining the presidency in 2005, Rajapaksa promised to win the

in developing countries] (Beijing: Tsinghua University, 2022).

7 Jaijun Xu and Richard Carey, 'Post-2015 global governance of official development finance: harnessing the renaissance of public entrepreneurship', *Journal of International Development* 27: 6, 2015, pp. 856–80, https://doi.org/10.1002/jid.3120.

8 Ammar A. Malik et al., *Banking on the Belt and Road: insights from a new global dataset of 13,427 Chinese development projects* (Williamsburg, VA: AidData at William & Mary, 2021), https://www.aiddata.org/publications/banking-on-the-belt-and-road. (Unless otherwise noted at point of citation, all URLs cited in this article were accessible on 16 June 2025.)

9 E.g. Richard W. Carney, *China's chance to lead: acquiring global influence via infrastructure development and digitalization* (Cambridge, UK: Cambridge University Press, 2023); Jonas B. Bunte, *Raise the debt: how developing countries choose their creditors* (Oxford: Oxford University Press, 2019).

10 World Bank, *International debt report 2023* (Washington DC: World Bank Group, 2023), https://openknowledge.worldbank.org/entities/publication/02225002-395f-464a-8e13-2acfca05e8f0, pp. 26, 41.

11 Sebastian Horn, Carmen M. Reinhart and Christoph Trebesch, 'China's overseas lending', *Journal of International Economics* vol. 133, 2021, https://doi.org/10.1016/j.jinteco.2021.103539; Anna Gelpern et al., 'How China lends: a rare look into 100 debt contracts with foreign governments', *Economic Policy* 38: 114, 2023, pp. 345–416, https://doi.org/10.1093/epolic/eiac054.

12 Brahma Chellaney, 'China is ensnaring vulnerable states in debt traps', *Nikkei Asian Review*, 1 March 2018, https://asia.nikkei.com/politics/brahma-chellaney-china-is-ensnaring-vulnerable-states-in-debt-traps.

13 Bassett, 'Africa's next debt crisis'; Tang, *The trap of financial capital*.

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civil war, terminate austerity measures imposed by the International Monetary Fund (IMF), and promote development, especially for Sinhala rural communities, through the building of infrastructure. Given Sri Lanka's long-term budget and current-account deficits, financing this agenda required external borrowing. Chinese lending helped finance infrastructure megaprojects, which Rajapaksa directed towards Sinhala majority areas. Meanwhile, Eurobonds, especially in Rajapaksa's second term (2010–15), provided short-term fixes for problems arising from his political and ideological agenda: financing the widening external financing gap and, increasingly, repaying other creditors, including China; spending on smaller infrastructure projects to support patronage; replenishing reserves; and propping up the rupee. Combined, Chinese loans and Eurobonds supported Rajapaksa's coalition of the public service, military, non-tradable corporate sector, and rural Sinhala communities.

In line with our second argument, however, Rajapaksa's Chinese and bond borrowing compounded Sri Lanka's vulnerability to US monetary policy shifts. From 2013, mounting debt costs and US monetary tightening pushed Rajapaksa towards unpopular policy measures that fractured his coalition. Subsequently, Sri Lanka's political elites have struggled to build durable domestic coalitions *and* meet their external financing needs. The government of Maithripala Sirisena (2015–19) racked up an even bigger, more expensive Eurobond debt pile to meet earlier debt obligations, even as it was implementing IMF-directed neo-liberal policies that undermined its popular support. Mahinda's brother, Gotabaya Rajapaksa (who was president between 2019 and 2022), tried to break with austerity, but this coincided with the onset of the COVID-19 pandemic. Pandemic control measures hammered Sri Lanka's foreign exchange income and, without IMF loans, Sri Lanka soon lost bond-market access, leading to the collapse of Gotabaya Rajapaksa's support and to default. In the following section, we discuss the literature that perceives China as an alternative to the western development model and introduce our arguments. We then demonstrate our claims via Sri Lanka's case. In the conclusion we discuss the wider implications of this analysis.

China's alternative to the West's neo-liberal development model?

The growing sovereign debt crisis has energized the long-running debate over the impact of China's growing international development footprint. China has rapidly gone from a minor donor to the world's biggest bilateral creditor but would not join traditional donors' institutions.[14] This, combined with the opacity of its policy-making process, has fuelled concerns that China is undermining important global development norms, even before geopolitical tensions between China and the US intensified.[15]

[14] Dreher et al., *Banking on Beijing*.

[15] John F. Copper, *China's foreign aid and investment diplomacy, volume III: strategy beyond Asia and challenges to the United States and the international order* (New York: Palgrave Macmillan, 2015); Stephen B. Kaplan, 'Banking unconditionally: the political economy of Chinese finance in Latin America', *Review of International Political Economy* 23: 4, 2016, pp. 643–76, https://doi.org/10.1080/09692290.2016.1216005.

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Many observers have blamed China for rising sovereign debt distress. One common complaint is that Chinese lending ignores debt sustainability.[16] China rejects the IMF and World Bank's Debt Sustainability Framework for developing countries, arguing that debt raised to build infrastructure enhances an economy's growth prospects, offsetting short-term debt concerns.[17] Critics insist, however, that China has loaded up many borrowing countries with too much debt, and that its opaque lending is undermining other lenders' capacity to assess default risk.[18] Chinese banks' secretive loan agreements also often include clauses giving repayment seniority to Chinese creditors, again intensifying the hidden risk to other creditors.[19]

For some, Chinese behaviour amounts to a deliberate 'debt-trap diplomacy' plan,[20] suggesting that China purposely provides unsustainable debt to seize strategic assets when borrowers cannot repay or to coerce them to support Chinese objectives. Sri Lanka's Hambantota Port, leased by a Chinese state-owned enterprise for 99 years after Sri Lanka ran into debt problems, is this thesis' case *par excellence*.[21] Though scholars have debunked it,[22] this idea remains popular, notably among US policy-makers.

Conversely, Chinese commentators often blame sovereign debt distress on traditional institutions' neo-liberal development prescriptions, specifically their promotion of bond-market lending. The international financial institutions have encouraged developing countries to borrow on domestic and international bond markets, provided they 'maintained liberalised currency and capital accounts, balanced budgets and did not over-borrow'.[23] Many assume that, due to bond contracts and markets' transparency, bond markets discipline borrowers to maintain the 'right' policies and institutions (those favourable to international capital), or risk higher borrowing costs and capital flight.[24]

Critics argue instead that bonds are unsuited for developing countries' needs. Tang Xiaoyang argues that while developing countries require large, stable, long-term investments to improve their infrastructure and productive capacities, with economic benefits often taking years to materialize, financial capital is motivated by quick and high returns, especially when investing in developing countries. Since bonds' maturities are typically short and concentrated, borrowers will have to repay them before gains from new infrastructure emerge, forcing

[16] 'Xi Jinping's next overseas-lending revolution', *The Economist*, 22 Feb. 2023, https://www.economist.com/finance-and-economics/2023/02/22/xi-jinpings-next-overseas-lending-revolution.
[17] Xu and Carey, 'Post-2015 global governance', p. 866.
[18] Horn et al., 'China's overseas lending'.
[19] Gelpern et al., 'How China lends'.
[20] Chellaney, 'China is ensnaring vulnerable states in debt traps'.
[21] Chellaney, 'China is ensnaring vulnerable states in debt traps'.
[22] Lee Jones and Shahar Hameiri, *Debunking the myth of 'debt-trap diplomacy': how recipient countries shape China's Belt and Road Initiative* (London: Royal Institute of International Affairs, 2020), https://www.chathamhouse.org/2020/08/debunking-myth-debt-trap-diplomacy.
[23] Bassett, 'Africa's next debt crisis', p. 528.
[24] Ilias Alami, 'Global finance capital and third world debt', in Immanuel Ness and Zak Cope, eds, *Palgrave encyclopedia of imperialism and anti-imperialism* (Cham, Switzerland: Palgrave Macmillan, 2021), pp. 1050–68 at p. 1062.

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new borrowing rounds and exposing borrowers to financial markets' vagaries.[25] Tang also dismisses claims that market discipline promotes prudent borrowing and lending. He argues that many governments issue bonds, the most expensive debt instrument, precisely because bondholders impose no direct conditions on how funds are being used, allowing borrowers to deploy the money for non-productive activities.[26] Meanwhile, bond traders' behaviour is shaped primarily by global liquidity conditions, not careful analysis of borrowers' circumstances. When monetary policy tightens in the global North, capital flows out of developing countries, forcing them into austerity and expensive refinancing. Tang therefore argues that it is international financial capital, not China, that ensnares developing countries in a debt trap.[27]

The perception that China is offering sovereign borrowers in the global South an alternative maps on to research correlating debt-instrument preferences with political regime types or models of domestic political economy. Focusing on regime types, Layna Mosley and Peter Rosendorff claim that less transparent governments choose more opaque debt instruments, like private bank or Chinese loans, rather than bonds.[28] Similarly, Richard Carney argues that Chinese lending appeals to 'electoral autocracies' because their leaders prioritize speed, opacity and maximizing political gains, which China's lending enables.[29]

Others emphasize countries' domestic political economy models, notably the preferences of powerful societal groups whose support governments need to survive. For example, Jonas Bunte focuses on three 'economic groups'—the financial sector, the industrial sector and labour—and identifies each group's preferred debt instrument. He argues that governments choose their creditors based on the dominant social coalition. Where a labour–industry coalition dominates, governments prefer borrowing from China, but where a finance–industry coalition dominates they prefer MDBs and private creditors.[30]

While useful for shifting attention to borrowing countries, these studies retain a dichotomized view of Chinese and bond-market lending. This reifies longstanding criticisms of Chinese development financing as 'rogue aid', supporting authoritarian and corrupt regimes[31] and, conversely, claims that issuing Eurobonds increases transparency. In reality, global South governments have typically borrowed from *both* sources, often extensively, where such opportunities were available to them. This is certainly true for many of the countries that have recently gone through debt restructuring processes—for example Zambia, Suriname, Ghana, Ethiopia, Ecuador and Sri Lanka.[32]

[25] Tang, *The trap of financial capital*, p. 50.
[26] Tang, *The trap of financial capital*, p. 6.
[27] Tang, *The trap of financial capital*, p. 1.
[28] Layna Mosley and B. Peter Rosendorff, 'Government choices of debt instruments', *International Studies Quarterly* 67: 2, 2023, https://doi.org/10.1093/isq/sqad030.
[29] Carney, *China's chance to lead*.
[30] Bunte, *Raise the debt*, p. 19; also Alexandra O. Zeitz, 'The financial statecraft of debtors: the political economy of external finance in Africa', DPhil thesis, University of Oxford, 2019.
[31] Moises Naim, 'Rogue aid', *Foreign Policy*, 15 Oct. 2009, https://foreignpolicy.com/2009/10/15/rogue-aid.
[32] Hameiri and Jones, 'China, international competition and the stalemate in sovereign debt restructuring'.

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Given this, we make two arguments. First, rather than treating Chinese loans and bond issuances as competing alternatives, and borrowers as having a fixed preference for one or the other, we claim that southern regimes view them as complementary, seeking to harness both to pursue their ruling coalitions' interests. Second, we argue that the two forms of borrowing are not independent alternatives, but interactive: Chinese megaprojects are ultimately dependent, directly and indirectly, on borrowers' US dollar income, which often requires bond-market lending. Chinese lending is typically US dollar-denominated and must also be repaid in dollars. This reflects Chinese international lending's role in addressing problems of capital overaccumulation and overcapacity within China, including the accumulation of vast foreign currency reserves after decades of export surpluses. Chinese officials hoped that lending internationally would avert a correction to the politically powerful state-owned sector.[33] Furthermore, Chinese loans typically only finance 85 per cent of projects' total costs and thus require governments to find the remaining 15 per cent, in dollars, to pay Chinese contractors.[34] Meeting the growing US dollar demand could come from either rising current-account surpluses or additional external borrowing. But absent sharply improving terms of trade, the latter is more likely, for two reasons: First, cutting imports, thus undermining living standards, is often politically difficult, as the Sri Lanka case exemplifies. Second, Chinese megaprojects also often affect countries' export competitiveness, at least in the short term, by creating domestic inflationary pressures through the importation of significant resources into the domestic economy. International bond markets are an attractive alternative for meeting the expanding external financing gap, to which Chinese lending contributes, because governments can deploy income from bonds at their discretion. This, in turn, increases borrowing regimes' exposure to the impacts of US monetary policy decisions, rather than reducing it, as proponents of Chinese development finance claim, illustrating borrowing countries'—and China's—subordinate position in the international financial system shaped by dollar hegemony.[35] Monetary tightening in the US may thus jeopardize both borrower regimes' survival and their capacity to repay external creditors, including China. We now turn to Sri Lanka to demonstrate both arguments.

[33] Shahar Hameiri and Lee Jones, 'Why the West's alternative to China's infrastructure financing is failing', *European Journal of International Relations* 30: 3, 2024, pp. 697–724, https://doi.org/10.1177/13540661231218573. China's dollar-denominated lending is thus different from its trade relations, where Chinese companies have explored alternatives to the dollar system, including commercial swap lines: see Ndongo Samba Sylla, 'Revisiting the foreign debt problem and the "external constraint" in the periphery: an MMT perspective', working paper 16, (Open Society University Network Economic Democracy Initiative, 2024), https://edi.bard.edu/research/notes/revisiting-foreign-debt, p. 7.

[34] Scott Morris, Brad Parks and Alysha Gardner, *Chinese and World Bank lending terms: a systematic comparison across 157 countries and 15 years* (Washington DC: Center for Global Development, 2020), https://www.cgdev.org/sites/default/files/chinese-and-world-bank-lending-terms-systematic-comparison.pdf, p. 6; Gregory Smith, *Where credit is due: how Africa's debt can be a benefit, not a burden* (Oxford: Oxford University Press, 2021), p. 58.

[35] Alami et al., 'International financial subordination'.

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Chinese lending and bond markets in Sri Lanka's debt crisis

Sri Lanka is a pivotal case in the debate over Chinese development financing, as it has been central to 'debt-trap diplomacy' claims.[36] Furthermore, as Jayati Ghosh argues, the circumstances leading to Sri Lanka's debt crisis are common among developing countries.[37] In this section, we demonstrate that the Sri Lankan government under Mahinda Rajapaksa treated Chinese loans and Eurobonds as complementary debt instruments in pursuit of Rajapaksa's political and ideological agenda. We also explain how Chinese megaprojects compounded Sri Lanka's vulnerability to US monetary policy shifts, ultimately paving the way for external default in April 2022. We follow the process chronologically from Mahinda Rajapaksa's two presidential terms (2005–15), through the Sirisena administration (2015–19) to debt crisis and default during Gotabaya Rajapaksa's presidency (2019–22).

External sovereign borrowing under the Mahinda Rajapaksa governments

In this section we explain Mahinda Rajapaksa's borrowing from China and bond markets. We show that both debt instruments played a complementary role in supporting his political and ideological agenda. Chinese lending provided infrastructure megaprojects directed towards Sinhala majority areas to secure their support. Meanwhile, Eurobonds, especially in Rajapaksa's second term (2010–15) provided short-term fixes for problems arising from his political and ideological agenda. This borrowing made Sri Lanka increasingly vulnerable to US monetary policy shifts. When US monetary conditions tightened, amid rising debt-servicing costs and a rigid exchange rate policy, Rajapaksa's coalition fractured.

Mahinda Rajapaksa was first elected president in 2005 with a wafer-thin majority, and only after the Liberation Tigers of Tamil Eelam (LTTE), then fighting the government, enforced a boycott of the poll in the north and east.[38] Promising to end the long-running civil war by force, Rajapaksa's platform combined a populist ideology of rural-centric, exclusionary Sinhala Buddhist ethnonationalism with developmentalism, emphasizing the state's role in driving economic growth, especially via infrastructure construction, and development's role in securing lasting peace.[39] Accordingly, Rajapaksa also promised to abolish the deeply unpopular IMF-imposed austerity policies of his predecessor, Chandrika Kumaratunga.[40]

[36] Jones and Hameiri, *Debunking the myth*.

[37] Jayati Ghosh, '"The writing was on the wall": debt distress and ways forward in Sri Lanka', *Polity* 10: 2, 2022, pp. 7–11 at p. 7, https://polity.lk/wp-content/uploads/2024/06/Polity_10.2_3Jayati.pdf.

[38] Jonathan Spencer, 'Securitization and its discontents: the end of Sri Lanka's long post-war?', *Contemporary South Asia* 24: 1, 2016, pp. 94–108, https://doi.org/10.1080/09584935.2016.1141176, p. 97.

[39] Rajesh Venugopal, *Nationalism, development and ethnic conflict in Sri Lanka* (Cambridge, UK: Cambridge University Press, 2018).

[40] Government of Sri Lanka Department of National Planning, *Mahinda Chintana: vision for a new Sri Lanka* (Panaluwa: State Printing Corporation), 2006, https://www.thegef.org/sites/default/files/ncsa-documents/MahindaChintanaTenYearDevelopmentPlan.pdf.

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Winning the war, implementing the government's ambitious development agenda, avoiding austerity and forming a durable political coalition required significant increases in state spending. After 2005, as part of the revamped war effort, Sri Lanka's per capita military spending more than doubled,[41] while public service employment rose rapidly from 900,000 in 2005 to reach 1.3 million by 2014.[42] Along with significant salary increases, this made public sector employees a major voting bloc for Rajapaksa. Additional funds also had to be found to pay for programmes to shore up rural elites' loyalty.[43] This had to be achieved by ramping up external borrowing, due to the constraining effect of Sri Lanka's long-term budget and current-account deficits.

Sri Lanka's perennial deficits resulted from the weakness of the constituency in favour of economic liberalization and export-oriented development, amid a political turn to ethnonationalism, intensified by the civil war.[44] Post-independence, Sri Lanka's economic policies turned inwards, while economic stagnation saw major political parties increasingly seek legitimacy by appealing to sectarianism.[45] In 1977, the centre-right United National Party (UNP) government had sought to address Sri Lanka's recurring balance-of-payments problems by pursuing economic liberalization.[46] Foreign direct investment began flowing into the export-oriented garments sector, but liberalization also increased inequality and the urban/rural divide, causing growing popular resentment, including among the rural Sinhalese majority. This empowered populist movements, notably Janatha Vimukthi Peramuna (JVP), which combined leftist economic ideas with sectarianism to demand radical redistribution. In response, the UNP introduced an executive presidency in 1978 that empowered the president *vis-à-vis* the legislature (and hence the masses), easing the passage of unpopular decisions.[47] Additionally, Sri Lanka's political elites also harnessed state employment to cultivate patronage networks among rural Sinhala communities.[48] While economic liberalization led to cuts to civilian agencies, this was soon offset by rising military spending as civil war erupted between the Sri Lankan government and the LTTE in 1983. The war created military employment opportunities for rural Sinhalese men, which helped tamp down radicalism in the Sinhala countryside from the 1990s, after the 1987–1989 JVP insurgency was put down, also profiting well-connected businessmen via procurement contracts.[49]

[41] Spencer, 'Securitization and its discontents', p. 97.

[42] Prema-chandra Athukorala, Edimon Ginting, Hal Hill and Utsav Kumar, 'The Sri Lankan economy: achievements, prospects, and policy issues', in Prema-chandra Athukorala, Edimon Ginting, Hal Hill and Utsav Kumar, eds, *The Sri Lankan economy: charting a new course* (Manila: Asian Development Bank, 2017), pp. 1–50 at p. 26.

[43] Devaka Gunawardena, 'Contradictions of the Sri Lankan state', *Economic & Political Weekly* 50: 9, 2015, pp. 56–62 at p. 56.

[44] Venugopal, *Nationalism, development and ethnic conflict in Sri Lanka*.

[45] Neil DeVotta, 'Parties, political decay, and democratic regression in Sri Lanka', *Commonwealth & Comparative Politics* 52: 1, 2014, pp. 139–65, https://doi.org/10.1080/14662043.2013.867692.

[46] C. Prema-Chandra Athukorala and Sisira Jayasuriya, 'Economic policy shifts in Sri Lanka: the post-conflict development challenge', *Asian Economic Papers* 12: 2, 2013, pp. 1–28, https://doi.org/10.1162/ASEP_a_00203.

[47] Venugopal, *Nationalism, development and ethnic conflict in Sri Lanka*, p. 19.

[48] DeVotta, 'Parties, political decay, and democratic regression in Sri Lanka', p. 147; Spencer, 'Securitization and its discontents', p. 98.

[49] Venugopal, *Nationalism, development and ethnic conflict in Sri Lanka*, pp. 9 and 18.

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This 'military fiscalism' produced a powerful constituency benefiting from large and persistent budget and current-account deficits, and a high government debt-to-GDP ratio,[50] while export sectors languished.[51] Military spending had a detrimental indirect impact on exports by driving up domestic inflation. From the 1990s, rising warfighting costs began impinging directly on Sri Lanka's exports. As the government sought to raise revenue, it increased border taxes, causing Sri Lanka's trade-to-GDP ratio to decline.[52] While remittances helped somewhat, Sri Lanka needed donor support to avoid balance-of-payments problems.[53] Assistance came with strings attached, however, as donors harnessed aid to advance unpopular economic liberalization and promote peace, thus inadvertently undermining the peace process.[54] Nonetheless, Sri Lanka still approached the IMF for bailouts no fewer than 13 times before Rajapaksa was elected, including agreeing an Extended Fund Facility in 2003. Since IMF conditionalities proved politically unsustainable, the cycle would soon recur.[55] Keen to escape the IMF's strictures, Rajapaksa thus turned to China and international capital markets[56] which, over the following decade in which he governed, became Sri Lanka's main sources of external financing (see table 1). For Rajapaksa, Chinese and bonds financing served complementary purposes, addressing different political needs.

Rajapaksa borrowed from China for infrastructure megaprojects. Hitherto, Sri Lanka had typically borrowed from MDBs for large infrastructure projects, and MDB loans were cheaper and had longer maturities than China's. However, Chinese policy banks' lending followed recipients' requests, allowing the new government to direct infrastructure projects to desired regions and constituencies, irrespective of their economic merit.[57] MDB financing, by contrast, was tied to their country strategies, which in 2005 had already been set for three to four years, based on the previous administration's neo-liberal policy framework.[58]

Rajapaksa's government also preferred Chinese policy banks because of their speedy approval and construction times and lax oversight. MDBs' lengthy approval processes meant that projects could take years to materialize, slowed down even further in Sri Lanka by World Bank concerns over procurement risk and public-sector capacity.[59] By contrast, Chinese-funded infrastructure projects

[50] Venugopal, *Nationalism, development and ethnic conflict in Sri Lanka*.

[51] Howard Nicholas and Bram Nicholas, 'An alternative view of Sri Lanka's debt crisis', *Development and Change* 54: 5, 2023, pp. 1114–35, https://doi.org/10.1111/dech.12794.

[52] Yougesh Khatri, Edimon Ginting and Prema-chandra Athukorala, 'Economic performance and macroeconomic management', in Athukorala et al., *The Sri Lankan economy*, pp. 51–80 at pp. 51–2.

[53] Khatri et al., 'Economic performance and macroeconomic management', p. 59.

[54] Venugopal, *Nationalism, development and ethnic conflict in Sri Lanka*, p. 18.

[55] Prema-chandra Athukorala, 'The Sri Lankan economy: from optimism to debt trap', *Asian Economic Policy Review* 20: 1, 2025, pp. 151–71, https://doi.org/10.1111/aepr.12483.

[56] Rajapaksa's government continued to finance its budget deficit through domestic sources as well, but our main focus is external debt.

[57] Jones and Hameiri, *Debunking the myth*.

[58] Government of Sri Lanka, *Regaining Sri Lanka: vision and strategy for accelerated development* (Colombo: Government of Sri Lanka, 2002), https://planipolis.iiep.unesco.org/sites/default/files/ressources/sri_lanka_prsp_2002.pdf.

[59] World Bank, 'Country assistance strategy for the Democratic Socialist Republic of Sri Lanka for the period FY2009–FY2012', (Washington DC: World Bank, 2008), https://documents1.worldbank.org/curated/en/441701468335413912/pdf/434710REVISED01LY10IDA1R20081012813.pdf, pp. 37 and 39.

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are often carried out without competitive tenders, and often with limited social and environmental impact assessments, greatly speeding up the approval and construction process, thus helping borrowing governments burnish their developmentalist credentials ahead of the next election.[60] Given their opaque procurement processes, Chinese-funded projects also provided many opportunities for domestic corruption, reinforced by Rajapaksa's closure in 2008 of the National Procurement Agency.[61]

Table 1: Sri Lanka's foreign borrowing, 2005–2015

Annual disbursed amounts by creditor in US$ million											
	2005	*2006*	*2007*	*2008*	*2009*	*2010*	*2011*	*2012*	*2013*	*2014*	*2015*
Eurobonds			500.0		500.0	1,000.0	1,000.0	1,000.0		1,500.0	2,150.0
China	10.4	10.0	180.6	58.6	295.5	844.8	438.2	866.2	1,056.4	709.0	493.6
World Bank	114.5	99.0	74.1	95.6	147.4	142.5	200.9	168.9	201.1	203.1	132.9
ADB	206.3	180.5	137.8	249.7	245.5	308.4	271.8	293.6	279.6	326.9	289.6
Japan	198.6	268.4	196.8	263.3	295.8	302.9	354.7	367.6	265.0	273.3	167.8
Foreign creditors' disbursements as a share of total foreign loan disbursements to Sri Lanka (%)											
Eurobonds	0.0%	0.0%	37.5%	0.0%	27.6%	33.6%	36.5%	30.3%	0.0%	43.0%	58.2%
China	1.0%	1.0%	14.0%	5.0%	16.0%	28.0%	16.0%	26.0%	42.0%	20.0%	13.0%
World Bank	15.1%	10.6%	5.6%	8.6%	8.1%	4.8%	7.3%	5.1%	8.0%	5.8%	3.6%
ADB	24.3%	24.7%	23.5%	22.6%	22.3%	19.8%	18.1%	17.4%	17.1%	16.0%	14.9%
Japan	26.1%	28.9%	14.8%	23.8%	16.3%	10.2%	12.9%	11.2%	10.5%	7.8%	4.5%

Note: ADB = Asian Development Bank.
Source: Authors' calculations, based on data obtained in 2022 from Sri Lanka Department of External Resources via freedom-of-information requests.

[60] Bradley C. Parks et al., *Belt and Road reboot: Beijing's bid to de-risk its global infrastructure initiative* (Williamsburg, VA: AidData at William & Mary, 2023), https://docs.aiddata.org/reports/belt-and-road-reboot/Belt_and_Road_Reboot_Full_Report.pdf, pp 119–120.

[61] Natasha Gunaratne, 'National Procurement Agency shut down', *Sunday Times*, 4 May 2008, https://www.sundaytimes.lk/080504/FinancialTimes/ft318.html.

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Finally, borrowing from China also helped the government manage political pressure from western donors, who were highly critical of its intensification of the civil war from 2006 and who, after the war had ended, accused the military of human rights abuses and war crimes, especially in the campaign's final stages in 2009. The Rajapaksa government denounced these claims as foreign interference and violation of Sri Lanka's national sovereignty, and used Chinese development financing to downplay the significance of western demands for accountability and of aid being withheld.[62]

Alongside Chinese borrowing, the government also increasingly turned to international capital markets. Bond issuances were limited during Rajapaksa's first term (2005–10), totalling US$1 billion. By 2014, just prior to the end of his second term, Sri Lanka had issued a further $4.5 billion in Eurobonds, comprising the leading share (21.8 per cent) of the Sri Lankan government's foreign debt (table 2). Although expensive—between 2008 and 2021 the annual effective interest rate of Sri Lanka's Eurobonds was 6.9 per cent, compared to 3.2 per cent for Chinese lending[63]—Eurobonds could be deployed at the government's discretion, providing short-term fixes for problems arising from its political and ideological agenda, as we elaborate below: financing the widening external financing gap and, increasingly, repaying creditors—including China; spending on smaller infrastructure projects to support patronage; replenishing reserves; and propping up the rupee.

Table 2: Composition of Sri Lanka's foreign debt, 2004/2014

Creditor	*Outstanding debt at end-2004*		*Outstanding debt at end-2014*	
	As % of total foreign debt	*US$ million*	*As % of total foreign debt*	*US$ million*
China	1.0	98.9	18.7	4,303.3
Japan	30.4	2,886.0	13.6	3,131.4
World Bank	22.9	2,174.4	12.4	2,845.3
ADB	23.9	2,263.7	16.0	3,678.1
Eurobonds	0.0%	-	21.8	5,000.0

Note: ADB = Asian Development Bank.
Source: Authors' calculations, based on data obtained in 2022 from Sri Lanka Department of External Resources via freedom-of-information requests; Central Bank of Sri Lanka, 'Statistical appendix' in 'Annual Report 2022', April 2022, https://www.cbsl.gov.lk/en/publications/economic-and-financial-reports/annual-reports/annual-report-2022.

[62] Jonathan Goodhand, David Rampton, Rajesh Venugopal and Nishan de Mel, 'Sri Lanka: strategic policy assessment', unpublished report, 2011, https://personal.lse.ac.uk/venugopr/Sri%20Lanka%20Strategic%20Policy%20Assessment%202011.pdf, p. 52.

[63] Umesh Moramudali and Thilina Panduwawala, *Evolution of Chinese lending to Sri Lanka since the mid-2000s—separating myth from reality*, briefing paper no. 8 (Washington DC: China–Africa Research Initiative at the School of Advanced International Studies, Johns Hopkins University, 2022), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=4305736.

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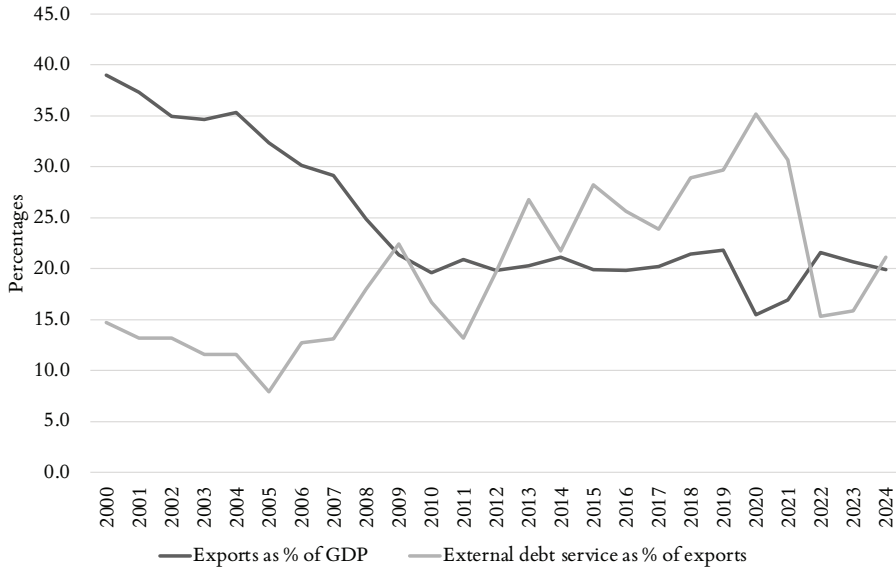
Figure 1: Sri Lanka's export performance vs foreign debt repayments, 2000–2024



Source: World Bank, World Development Indicators, 'Exports of goods and services (% of GDP)—Sri Lanka', 2023, https://data.worldbank.org/indicator/NE.EXP.GNFS.ZS?locations=LK; and Central Bank of Sri Lanka, 'Debt Service Ratio', Special Statistical Appendix, 2024, https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/publications/aer/2024/en/25_Special_Statistical_Appendix.pdf, p. 7.
Note: Debt service ratio refers to total debt repayment to external creditors as a percentage of earnings from exports of goods and services. The steep decline in the ratio of external debt servicing to exports in 2022 reflects Sri Lanka's default.

Sri Lanka issued Eurobonds from 2007 to meet the growing demand for hard currency to bridge the expanding external financing gap caused by declining exports and rising debt-servicing costs after 2005 (figure 1). Poor export performance is a long-term issue in Sri Lanka, as mentioned,[64] but Rajapaksa's policies undermined exports further. Aside from raising border taxes, Rajapaksa's China-financed infrastructure-building bonanza increased the pressure on exports by causing domestic inflation through imports relating to megaprojects. The rapid growth of the construction sector, together with high military spending, saw non-tradable sectors' share of GDP increase from an average of 60.6 per cent in 2000–2004 to 69 per cent in 2005–09 and to 70.2 per cent in 2010–14.[65] Inflation appreciated the rupee's real exchange rate against Sri Lanka's trading partners, badly affecting exports.[66] Exports were also undermined, especially after 2009, by western reactions to the civil war's bloody *dénouement*, as preferential export quota schemes in

[64] Nicholas and Nicholas, 'An alternative view'.
[65] Athukorala et al., 'The Sri Lankan economy', pp. 19–25.
[66] Khatri et al., 'Economic performance', pp. 71–72.

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the garments sector were wound up. From 832 factories employing a million workers in 2004, the sector declined to comprise just 318 factories with 283,000 workers by the early 2010s.[67] While the share of foreign exchange earnings provided by remittances rose from 4.5 per cent in 1985 to an average of 22 per cent in 2005–15, and tourism also grew after the war's end, current-account deficits remained high.[68]

Table 3: Loans obtained by Sri Lanka from China during Mahinda Rajapaksa's first presidential term (2005–2010)

Loan title	*Agreement date*	*Loan currency*	*Amount (US$ million)*	*Grace period (years)*	*Payback period (years)*	*Interest rate (%)*
Puttalam coal-fired power plant project—preferential buyer's credit	30 Aug. 2005	US dollars	300.0	7	21	2.0
Puttalam project—buyer's credit facility	8 Sept. 2006	US dollars	153.0	9	18	LIBOR 6+1
Supply of 100 railway passenger carriages	15 May 2007	Renminbi	27.0	3	15	2.0
Supply of 15 diesel multiple units	15 May 2007	Renminbi	35.4	3	15	2
Hambantota port development project	30 Oct. 2007	US dollars	306.7	6	17	6.3
Bunkering facility and tank farm project at Hambantota	6 Aug. 2009	US dollars	65.0	5	15	6.5
Colombo–Katunayake Expressway—section A1	6 Aug. 2009	US dollars	70.0	4	16	6.3
Colombo–Katunayake Expressway—section A2	6 Aug. 2009	US dollars	63.5	4	16	6.3
Colombo–Katunayake Expressway—section A3	6 Aug. 2009	US dollars	47.8	4	16	6.3
Colombo–Katunayake Expressway—section A4	6 Aug. 2009	US dollars	66.7	4	16	6.3
Puttalam coal power project—phase II	25 Dec. 2009	US dollars	891.0	5	20	2.0

Source: Constructed by the authors, based on data obtained in 2022 from Sri Lanka Department of External Resources via freedom-of-information requests.

[67] Gunawardena, 'Contradictions of the Sri Lankan state', p. 58.
[68] Athukorala et al., 'The Sri Lankan economy', pp. 27–32.

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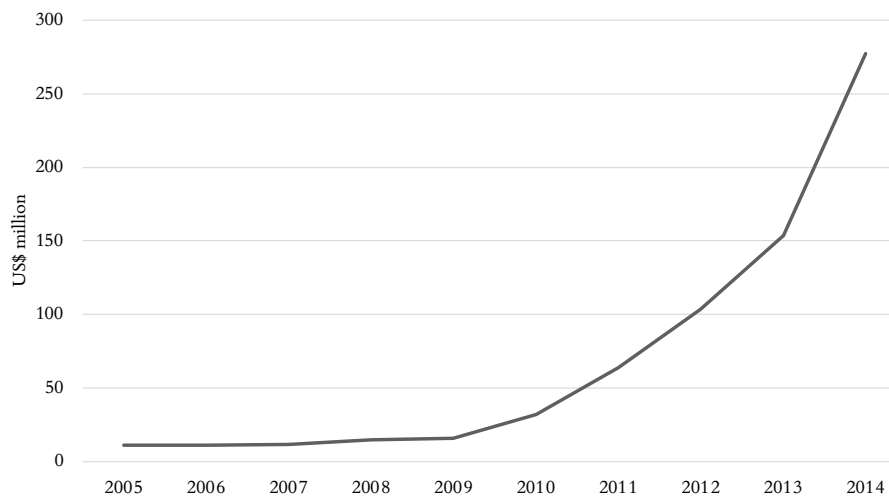
By contrast, from 2010 external debt servicing rose sharply as a percentage of exports (figure 1), due to the rising share of non-concessional financing within Sri Lanka's external debt composition. The large loans Sri Lanka obtained from China's Export–Import Bank (hereafter Eximbank) between 2005 and 2009 partly account for this. Crucially, nine of the 11 loan agreements signed with Eximbank in 2005–2009—US$1.95 billion of the total $2.027 billion—had to be repaid in US dollars (table 3), which, as stated above, is common in the context of Chinese infrastructure lending. For Sri Lanka, this meant having to accumulate more US dollar reserves, deepening the country's vulnerability to shifts in US monetary policy rather than reducing it—as proponents of Chinese lending claim. Access to international bond markets thus underpinned Sri Lanka's demand for Chinese megaprojects and its capacity to repay Chinese creditors.

Figure 2: Amount of Sri Lanka's debt servicing to China, 2005–2014



Source: Constructed by the authors, based on data obtained in 2021 from Sri Lanka Department of External Resources via freedom-of-information requests.

Chinese megaprojects generated increased demand in Sri Lanka for US dollars, and thus Eurobond issuances, for two reasons. First, repayment costs on the loans rose sharply in Rajapaksa's second term. Since most Chinese loans were buyer's credits, they typically carried higher interest rates and shorter grace and payback periods compared to concessional lending from MDBs and Japan. With the usual grace period of four or five years (see table 3), repayments started from 2011 to 2014, even as Sri Lanka had to start repaying its bondholders too, causing significant increases in annual external debt repayments (figures 1 and 2). Sri Lanka continued to borrow heavily from China—for example, US$3.2 billion from Eximbank in 2010–14 for infrastructure development—but as Chinese loans were tied to particular projects and disbursed directly to contractors, the Sri Lankan

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government could not use the new loans to repay the earlier ones, even as export performance continued to deteriorate. A second, often neglected, driver is the gap between Chinese loans and full project costs. Several authors have estimated that policy banks only provide about 85 per cent of project costs.[69] Thus, borrowing countries, including Sri Lanka, must find additional, discretionary financing to fill the unfunded gap, often turning to Eurobonds.[70] We estimate that filling this gap required additional Eurobond borrowings totalling US$1.33 billion in 2010–19 (table 4).

Table 4: Sri Lanka: estimated additional funding required for Chinese projects, 2010–2019 (US$ million)

Year	*Project loan commitments from China*	*Disbursements from China*	*Debt servicing to China*	*Estimated additional funding required from government for Chinese projects*
2010	821.4	845	32	149
2011	784.7	438	64	77
2012	1,056.1	866	104	153
2013	517.9	1,056	154	186
2014	2,612.0	709	277	125
2015	-	494	389	87
2016	440.0	469	448	83
2017	542.0	647	474	114
2018	1,061.0	1,357	498	239
2019	1,061	707	565	125

Note: Estimates are derived on the assumption that total disbursements from China only account for 85 per cent of projects' implementation costs per annum, and the remaining 15 per cent has to be financed by the Sri Lankan government as stipulated in the loan agreements. In reality, these numbers could differ slightly from the estimates. We used estimates as the actual numbers were not publicly available.
Source: Government of Sri Lanka, Ministry of Finance, annual reports (multiple years); and Department of External Resources, annual reports (multiple years).

[69] Morris et al., *Chinese and World Bank lending terms,* p. 6; Smith, *Where credit is due*, p. 58. We examined the loan agreements and audit reports for Hambantota Port, the Colombo–Katunayake Expressway, Southern Expressway Extension Project and more Chinese-funded projects in Sri Lanka, and all indicate that only 85% of the project cost was financed through Chinese lending. See, for example, Auditor General, 'Colombo–Katunayake Expressway Project—2013', http://www.auditorgeneral.gov.lk/web/images/audit-reports/upload/2013/project_2013/ColomboKattunayakaExprees-wayE.pdf.
[70] Smith, *Where credit is due*, p. 58.

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Chinese lending alone does not explain the significant increase in Sri Lanka's bond issuances in Rajapaksa's second term (table 5).[71] His government turned in addition to Eurobonds, to finance its efforts to build up and sustain rural patronage networks. Rajapaksa's re-election depended upon mobilizing state employees and rural Sinhala voters, who were often the same people. Consequently, despite the civil war ending in 2009, defence spending *increased*, as did the number of military personnel—typically Sinhala men from poor rural constituencies. The government also harnessed the military directly towards development projects, especially in the north and east, and even towards running businesses.[72] Rajapaksa created several financing schemes for smaller-scale infrastructure projects in rural areas, giving himself and his brother, economic development minister Basil Rajapaksa, full discretion over disbursing funds to reward loyalists.[73] These schemes increased pressure on Sri Lanka's external balance sheet, necessitating additional borrowing, with Eurobonds again an attractive option for providing borrowers with complete discretion over how the funds are spent.

Table 5: Sri Lanka's Eurobond and Chinese loan disbursements, 2010–2015 (US$ million)

Year	*Disbursements from China*	*Debt servicing to China*	*Debt servicing for Eurobonds*	*Total debt servicing*	*Eurobond issuances*
2010	844.8	32.3	69.0	831.5	1,000
2011	438.2	64.1	140.8	1,027.3	1,000
2012	866.2	103.5	703.3	1,665.8	1,000
2013	1,056.4	153.7	220.8	1,236.5	0
2014	709.0	277.1	263.6	1,410.5	1,500

Source: Government of Sri Lanka, Department of External Resources—data obtained through freedom-of-information requests.

Finally, the Rajapaksa government issued Eurobonds to maintain a stable nominal exchange rate regime, with the Central Bank of Sri Lanka releasing borrowed US dollars into the domestic foreign exchange market to uphold the rupee's value. Between 2006 and 2008, and during the immediate post-conflict period (2010–12), Sri Lankan authorities drained foreign currency reserves to defend a rigidly managed exchange rate, which was adversely affected by domestic inflation related to the domestic construction boom and by poor export perfor-

[71] Nicholas and Nicholas, 'An alternative view'.
[72] Spencer, 'Securitization and its discontents', pp. 98–102.
[73] Nirmal Dewasiri, *Rajapaksawadaya yanuy kumakda?* [*What is Rajapaksanism?*] (Sri Lanka: Lakuna Publication, 2017), pp. 57–86.

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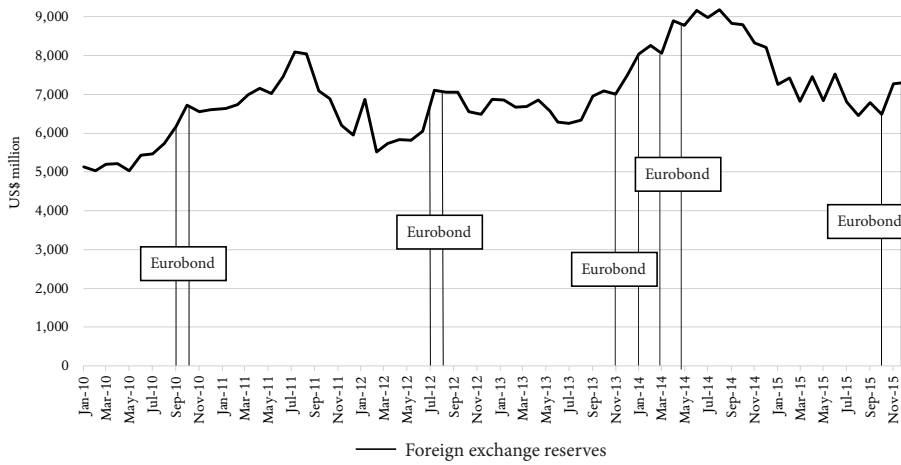
mance.[74] Declining reserves were compensated by Eurobond issuances which provided large amounts of US dollars in one instance (figure 3). Upholding the rupee's value also helped maintain the appearance of a low debt-to-GDP ratio, to allow higher levels of consumption, and to signal developmental success via higher growth rates than would have otherwise been possible.

Figure 3: Eurobond issuances and foreign exchange reserves in Sri Lanka, 2010–2015



Source: Authors' estimates, based on data from Central Bank of Sri Lanka. Data were obtained from the Central Bank of Sri Lanka, 'Reserve data template historical' in 'External sector statistics', https://www.cbsl.gov.lk/en/statistics/statistical-tables/external-sector, and information request to the CBSL on January 2021. Data on Eurobond issuances were obtained from Department of External Resources website, section 'External market borrowings' via https://www.erd.gov.lk/index.php?option=com_content&view=article&id=51&Itemid=214&lang=en#details-of-sri-lanka-sovereign-bond-issuances.

In combination, the above factors caused Sri Lanka's ratio of external debt servicing to exports to climb sharply in Rajapaksa's second term (figure 1). While providing short-term fixes, this build-up of non-concessional, dollar-denominated debt, to which Chinese megaprojects contributed both directly and indirectly, increased Sri Lanka's vulnerability to shifts in US monetary policy. As monetary conditions shifted from the mid-2010s, repaying external debt and upholding the rupee's exchange rate began impinging on Rajapaksa's political coalition, creating difficult trade-offs also for his successors, as we now explain.

[74] Khatri et al., 'Economic performance', p. 71; International Monetary Fund, 'Seventh review under the stand-by arrangement and requests for waivers of nonobservance of performance criteria, extension of the arrangement period, rephasing of purchases, and establishment of performance criteria', April 2012, https://www.imf.org/external/pubs/ft/scr/2012/cr1295.pdf.

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Chinese lending, bonds and Sri Lanka's external default

In January 2015 Rajapaksa lost the presidential election to Maithripala Sirisena, his former health minister. Several factors were behind the loss, including growing public disaffection with the Rajapaksas' authoritarianism and corruption, and the mobilization of the ethnic minority vote behind Sirisena,[75] reinforced by the emerging cracks in Rajapaksa's approach to financing his political and economic agenda, wrought by a combination of tightening US monetary policy, the rising burden of debt repayments and the costs of defending Sri Lanka's rigidly managed exchange rate. From 2013 Rajapaksa was forced to adopt unpopular measures, often on the advice of IMF staff. These measures fractured his coalition and damaged his prospects of re-election by increasing Sri Lankans' cost of living, thus turning away some of the poorer rural Sinhala supporters who backed him earlier. The measures did help Rajapaksa raise US$1.5 billion from international markets in 2014. For example, his government revised up electricity and fuel prices, with the new electricity tariffs falling more heavily on smaller consumers than larger ones. Rajapaksa also introduced a new value added tax, which was again regressive and caused prices to increase.[76] Rising prices made Rajapaksa's claims that Sri Lanka's economy was thriving ring hollow for many voters, and cost-of-living issues loomed large in the 2015 presidential election.[77] Sirisena capitalized on this by promising to reduce fuel prices if elected, and delivering price cuts shortly after coming to power.[78] Rajapaksa also denied public servants—hitherto a reliable voting bloc for him—their salary increment increase in 2014, splitting their vote, with a majority voting for Sirisena, who pledged a pay rise in his manifesto.[79]

Sirisena won, but on the back of a weak multiparty coalition traversing a broad ideological spectrum, brought together by its desire to dislodge Rajapaksa. This provided a weak foundation for addressing the drivers of Sri Lanka's deepening indebtedness. Sirisena inherited a rising external debt repayment burden and a foreign debt stock with relatively short maturity periods, the paying off of which required refinancing, even as borrowing costs were rising. Tightening US monetary policy was also causing problems in domestic bond markets, increasing the pressure on Sri Lanka's foreign currency reserves even more. From 2011 to 2014 foreign investment in Sri Lankan government securities soared, as global North investors sought higher yields. By the end of 2014, 11.4 per cent of government securities were foreign holdings.[80] The US Federal Reserve's monetary tightening

[75] Spencer, 'Securitization and its discontents', pp. 104–105.

[76] International Monetary Fund, *Sri Lanka: staff report for the 2014 Article IV consultation and second post-program monitoring discussion* (Washington DC: IMF, 2014), https://www.imf.org/en/Publications/CR/Issues/2016/12/31/Sri-Lanka-Staff-Report-for-the-2014-Article-IV-Consultation-and-Second-Post-Program-41927; International Monetary Fund, 'Statement by the IMF staff representative on Sri Lanka, April 26, 2013', https://www.elibrary.imf.org/view/journals/002/2013/120/article-A005-en.xml.

[77] Dinouk Colombage, 'Sri Lanka on tenterhooks as election nears', Al Jazeera, 6 Jan. 2015, https://www.aljazeera.com/features/2015/1/6/sri-lanka-on-tenterhooks-as-election-nears.

[78] 'Fuel prices reduced from midnight', *Daily Mirror*, 21 Jan. 2015, https://www.dailymirror.lk/print/breaking-news/fuel-prices-reduced-from-midnight/108-61823.

[79] Maithreepala Sirisena, *Manifesto: compassionate government—Maithri—a stable country* (2014), https://www.president.gov.lk/wp-content/uploads/2015/01/Manifesto-EN.pdf.

[80] Central Bank of Sri Lanka, *Weekly economic indicators: 02 January 2015* (Colombo: Central Bank of Sri Lanka,

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from late 2015 led many investors to withdraw their short-term investments in Sri Lanka, resulting in significant foreign currency outflow from Sri Lankan government securities—US$2.5 billion between 2015 and 2018—depleting reserves significantly. The government thus needed substantial amounts of hard currency, fast.[81]

Facing a potential balance-of-payments crisis, the Sirisena government approached the IMF for a bailout, agreeing to a US$1.5 billion Extended Fund Facility in 2016.[82] The IMF programme provided a short-term remedy for Sri Lanka's external needs. It had the additional benefit of reassuring financial markets, thus enabling another round of Eurobond issuances, despite US monetary tightening, totalling US$10.8 billion between 2015 and 2019 (table 6). However, whereas Mahinda Rajapaksa had been able to harness bond issuances to shore up his ruling coalition, Sirisena was constrained by the terms of the IMF programme and used the Eurobonds mainly to repay external creditors and replenish reserves. The IMF also forced unpopular austerity measures on Sirisena's government, including increasing tax revenue (albeit from a very low base), introducing a fuel pricing formula, curtailing government expenditure, privatizing state assets (including the port of Hambantota) and liberalizing trade and investment.[83] This quickly proved politically unsustainable.

Implementing these reforms and high debt servicing costs (interest alone amounted to 80 per cent of government expenditure) led to economic stagnation, especially in 2018–19, which was worsened by natural disasters. The government's popularity declined, exacerbated by its failure to deliver on its election promise to convict the Rajapaksas and their allies for corruption. As the 2019 presidential election approached, the Sirisena government's economic agenda was deeply unpopular, reflecting the absence of wide support bases for economic liberalism. Its position was further weakened by the terrorist attacks on a number of churches and hotels across Sri Lanka on Easter Sunday, 21 April 2019,[84] which cast doubt on the government's capacity to ensure national security. Mahinda's brother, Gotabaya Rajapaksa, capitalized on these weaknesses to win the presidency. Aside from national security issues, his campaign espoused a familiar agenda, similar to Mahinda's, adopting an anti-austerity, anti-economic liberalization stance, pledging to reduce taxes, abolish the fuel pricing formula, stop privatizations and build import-substitution industries.[85]

2015), https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/statistics/wei/wei_20150102.pdf.

[81] Personal communication with Indrajit Coomaraswamy, former governor of the Central Bank of Sri Lanka, 2022.

[82] International Monetary Fund, *Sri Lanka: staff report for the 2016 Article IV consultation and request for a three-year extended arrangement under the Extended Fund Facility* (Washington DC: IMF, 2016), https://www.imf.org/external/pubs/ft/scr/2016/cr16150.pdf.

[83] International Monetary Fund, *Sri Lanka: staff report for the 2016 Article IV consultation and request for a three-year extended arrangement*.

[84] Bernadette Tuazon et al., 'Terror in Sri Lanka', CNN, April 2019, https://edition.cnn.com/interactive/2019/04/world/sri-lanka-attacks.

[85] Gotabaya Rajapaksa, 'Vistas of prosperity and splendour', election manifesto, 2019, https://archive.tobaccounmasked.com/wp-content/uploads/2019/12/sri-lanka-podujana-peramuna-manifesto-english.pdf.

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Table 6: Eurobonds issued by Sri Lanka, 2015–2019

Issue date	*Maturity date*	*Coupon rate (%)*	*Amount (US$ million)*
3 June 2015	3 June 2025	6.125	650
3 Nov. 2015	3 Nov. 2025	6.85	1,500
11 July 2016	18 Jan. 2022	5.75	500
18 July 2016	18 July 2026	6.825	1,000
11 May 2017	11 May 2027	6.2	1,500
18 April 2018	18 April 2028	6.75	1,250
14 March 2019	14 March 2024	6.85	1,000
14 March 2019	14 March 2029	7.85	1,400
28 June 2019	28 June 2024	6.35	500
28 June 2019	28 March 2030	7.55	1,500

Source: Central Bank of Sri Lanka, *Details of outstanding international sovereign bonds as at 29 February 2024*, https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/about/outstanding_ISBs_as_at_20240229.pdf, accessed 12 March 2024; *Details of outstanding international sovereign bonds as at 31 December 2021,* https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/about/outstanding_ISBs_as_at_20211231.pdf, accessed 12 March 2024.

As promised, after coming to power Gotabaya implemented sweeping tax cuts, significantly reducing government revenue, which was already very low compared to countries with Sri Lanka's level of GDP per capita.[86] Between 2019 and 2021 Sri Lanka's tax-to-GDP ratio declined from 11.9 per cent to 8.3 per cent.[87] Accordingly, the budget deficit shot up. The government's policies also contravened the terms of Sri Lanka's IMF programme, leading Gotabaya to abandon it completely in early 2020. Unfortunately, this coincided with the onset of the COVID-19 pandemic. Control measures undermined remittances and tourism, smashing Sri Lanka's foreign exchange income.[88] The implications for Sri Lanka's borrowing costs were serious. The credit rating agency Fitch downgraded Sri Lanka's credit rating in April 2020 to B-,[89] even as the government needed to borrow more to finance its growing budget and current-account deficits. Politically, however, the

[86] Khatri et al., 'Economic performance', p. 54.
[87] Central Bank of Sri Lanka, *Annual report 2022: special statistical appendix*, 2023, table 6, https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/publications/annual_report/2022/en/16_S_Appendix.pdf.
[88] Nicholas and Nicholas, 'An alternative view'.
[89] Fitch Ratings, 'Fitch downgrades Sri Lanka to "B–"; outlook negative', 24 April 2020, https://www.fitchratings.com/research/sovereigns/fitch-downgrades-sri-lanka-to-b-outlook-negative-24-04-2020.

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Rajapaksas' anti-austerity stance proved popular. In the September 2020 parliamentary election, their party secured two-thirds of available seats.[90]

Behind the Rajapaksas' willingness to flout the IMF and credit rating agencies was a US$500 million term loan from China Development Bank (CDB) which the Sri Lankan government negotiated with its Chinese counterpart (table 7). Unusually, this loan was not tied to a particular project and could be used for managing balance-of-payments pressures, challenging the claim that Chinese lending is necessarily aimed at building up borrowing countries' productive capacities. While allowing Sri Lanka to temporarily repay its external creditors (including Chinese banks), the CDB loan did not restore bond-market confidence, since it was issued without the same conditionalities that are associated with IMF lending.[91] Combined with the economic upheavals of the pandemic response, Fitch further downgraded Sri Lanka's credit rating to CCC in November 2020,[92] thereby completely severing its access to international bond markets. Sri Lanka could now no longer issue Eurobonds to refinance its maturing bonds or repay China. However, contrary to claims that transparent international markets discipline borrowers into 'good' policies, bond investors only withdrew when Sri Lanka was already teetering on the edge of default.

Table 7: Chinese debt repayments vs Chinese discretionary loan disbursements, 2020–2021

Type of lending/repayment	*Amount (US$ million)*	
	2020	*2021*
China Development Bank discretionary lending	500	809.1
Total disbursements from China	792	938.0
Non-discretionary Chinese loan disbursements	292	128.9
Total debt repayments to China	624.8	817.0

Source: Authors' calculations, based on data from Sri Lanka Department of External Resources, 2023.

Sri Lanka's fiscal and balance-of-payments positions thus continued to deteriorate, though in the first half of 2021 the impact was not yet felt widely. The government was hoping to manage the mounting pressures through a second CDB

[90] Election Commission of Sri Lanka, 'Parliamentary election results—2020', 2020, https://elections.gov.lk/en/elections/PE_RESULTS_2020_E.html.

[91] Sebastian Horn, Bradley C. Parks, Carmen M. Reinhart and Christoph Trebesch, *China as an international lender of last resort*, NBER working paper no. 31105 (Cambridge, MA: National Bureau of Economic Research, 2023), http://www.nber.org/papers/w31105.

[92] Fitch Ratings, 'Fitch downgrades Sri Lanka to "CCC"', 27 Nov. 2020, https://www.fitchratings.com/research/sovereigns/fitch-downgrades-sri-lanka-to-ccc-27-11-2020.

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term loan and currency swap agreements with China, India and Bangladesh.[93] However, by the time the CDB disbursed US$500 million in April 2021, Sri Lanka's foreign currency reserves had depleted to US$4.58 billion (from $8 billion in late 2019), while the projected outflow over the upcoming year was $5.28 billion.[94] Despite claims of Chinese 'debt-trap' diplomacy or that Chinese loans propped up corrupt and authoritarian governments, the CDB would not underwrite Sri Lanka's balance-of-payments problems indefinitely. Its final rescue loan to Sri Lanka, worth 2 billion renminbi (US$310 million), was provided in August 2021.[95] Thereafter, pleas from the Rajapaksa government for further emergency lending were rebuffed. The CDB would not throw good money after bad, having realized that Sri Lanka was insolvent and earlier loans were being used mainly to repay not Chinese banks, but bondholders, whose share of Sri Lanka's external debt was by then much bigger. Even when it was flowing, CDB financing was insufficient to cover Sri Lanka's external financing needs, as reflected in Sri Lanka's declining foreign-currency reserve levels throughout 2020 and 2021 (figure 4).

As it no longer had access to bond markets, the Sri Lankan government was forced to manage foreign currency outflows by restricting imports, thus undermining its anti-austerity credentials.[96] Sri Lanka soon experienced severe shortages of fuel, medicines and fertilizers. The electricity supply was also limited to 13 hours daily.[97] A frustrated public took to the streets demanding access to essential goods and Gotabaya Rajapaksa's resignation.[98] With few available alternatives, Gotabaya declared that he would approach the IMF for a rescue loan, meeting with an IMF team for initial discussions in March 2022.[99] This was too late to save his presidency, however. By April 2022 Sri Lanka's usable foreign currency reserves had been reduced to US$50 million, compelling the government to declare external sovereign default on 12 April for the first time in the country's history.[100] The default only exacerbated the immediate economic hardship many Sri Lankans were facing, intensifying protests against the president. Gotabaya finally resigned in July 2022 and fled Sri Lanka.[101]

[93] Sri Lanka Parliament, 'Parliamentary debates (Hansard), vol. 280 (23.11.2020–10.12.2020)', see report for 2 Dec. 2020, pp. 1549–52, https://parliament.lk/uploads/documents/hansardvolumes/1630904311054580.pdf (in Sinhala).

[94] Central Bank of Sri Lanka, *Weekly economic indicators—01 April 2021* (Colombo: CBSL, 2021), https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/statistics/wei/WEI_01_04_2021_E.pdf.

[95] Moramudali and Pandawawala, *Evolution of Chinese lending*, p. 28.

[96] Asanka Wijesinghe, Chathurrdhika Yogarajah and Nilupulee Rathnayake, *Import controls in Sri Lanka: political preference and incentive distortions* (Colombo: Institute of Policy Studies of Sri Lanka, 2023), https://www.ips.lk/import-controls-in-sri-lanka-political-preference-and-incentive-distortions.

[97] Uditha Jayasinghe, 'Sri Lanka suffers long power cuts as currency shortage makes fuel scarce', Reuters, 31 March 2022, https://www.reuters.com/world/asia-pacific/sri-lanka-suffers-long-power-cuts-lacks-foreign-currency-import-fuel-2022-03-30.

[98] Newsfirst Sri Lanka, via YouTube, 'Prime time Sinhala news—7 pm (30/03/2022)', 30 March 2022, https://www.youtube.com/watch?v=LadnuhxDdtM.

[99] Government of Sri Lanka, Ministry of Mass Media, 'President Gotabaya Rajapaksa's special address to the nation', 16 March 2022, https://www.media.gov.lk/media-gallery/latest-news/2960-president-gotabaya-rajapaksa-s-special-address-to-the-nation-2.

[100] Ministry of Finance, 'Interim policy regarding servicing Sri Lanka's external public debt', 12 April 2022, https://www.treasury.gov.lk/api/file/54a19fda-b219-4dd4-91a7-b3e74b9cd683.

[101] Uditha Jayasinghe, Alasdair Pal and Chen Lin, 'Sri Lankan president hands in resignation after fleeing to Singapore', Reuters, 14 July 2022, https://www.reuters.com/world/asia-pacific/sri-lanka-awaits-presidents-

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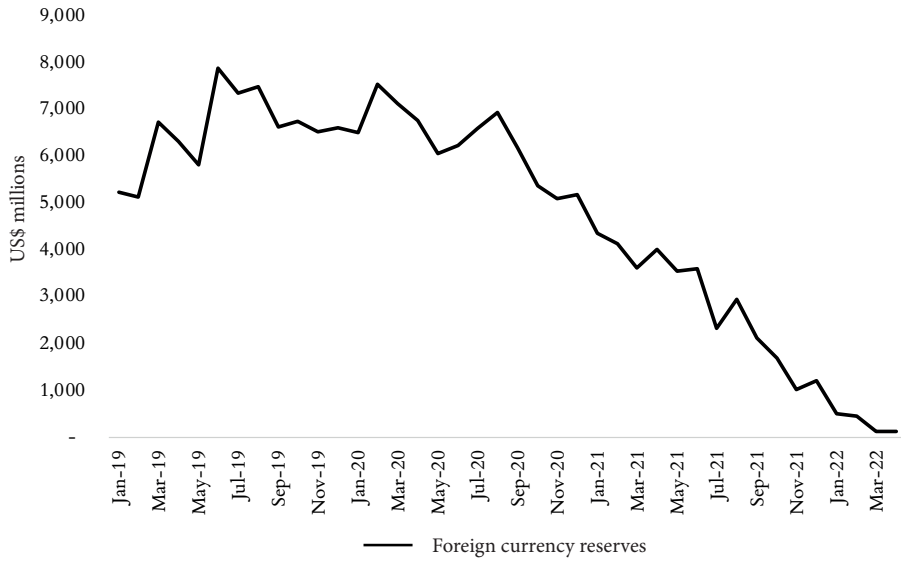
Figure 4: Depletion of Sri Lanka's usable foreign currency reserves, 2019–2022



Note: This graph does not include the 10 billion renminbi (roughly US$1.5 billion) swap facility obtained from the People's Bank of China, as this was a standby arrangement, available upon fulfilling several conditions, including having foreign currency reserves equivalent to three months of imports. We thus use the term 'usable reserves'. Central Bank of Sri Lanka figures from Dec. 2021 include this $1.5 billion swap, but we excluded it to present a more accurate picture of available foreign currency reserves.
Source: Central Bank of Sri Lanka, 2023. Reserve data were obtained from Central Bank of Sri Lanka, 'Reserve data template historical' in 'External sector statistics', https://www.cbsl.gov.lk/en/statistics/statistical-tables/external-sector.

Following the collapse of Gotabaya Rajapaksa's government, veteran politician Ranil Wickremasinghe became president. He immediately sought to enter an IMF programme and initiate a debt restructuring process. As part of its IMF programme, Sri Lanka again introduced a series of austerity measures, including tax increases, a fuel pricing formula and removal of electricity pricing subsidies.[102] Unsurprisingly, the implementation of these measures undermined the president's popularity, leading to the election to the presidency in 2024 of Anura Kumara Dissanayake, whose party, National People's Power, was descended from the radical JVP. Yet, reflecting the limited options available if external financing were to be restored, Dissanayake confirmed his commitment to the IMF programme.[103]

resignation-after-flight-2022-07-14/.

[102] International Monetary Fund, *Sri Lanka: first review under the extended arrangement under the Extended Fund Facility, requests for a waiver of nonobservance of performance criterion, modification of performance criteria, rephasing of access, and financing assurances review* (Washington DC: IMF, 2023), https://www.imf.org/en/Publications/CR/Issues/2023/12/12/Sri-Lanka-First-Review-Under-the-Extended-Arrangement-Under-the-Extended-Fund-Facility-542441.

[103] Government of Sri Lanka, President's Media Division, 'President Dissanayake urges IMF to strike a balance

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Conclusion

Chinese development financing is often portrayed, by both critics and proponents, as an alternative to the West's neo-liberal development model, providing loans for transformative infrastructure projects. By contrast, we argued in this article that recipients view Chinese loans and Eurobonds as complementary debt instruments deployed in support of ruling coalitions. We also argued that the two forms of borrowing are not independent alternatives, but interactive: Chinese lending is ultimately dependent on borrowers' access to US dollars, which often requires bond-market lending. We demonstrated both claims via the pivotal case of Sri Lanka—the country at the centre of 'debt-trap diplomacy' claims.

Two broader lessons of this study are worth emphasizing. First, that Chinese lending often reinforces borrowing countries' international financial subordination[104] rather than reducing it, reflecting China's own subservient position within the international monetary relations of dollar hegemony. That the bulk of China's Belt and Road Initiative lending is in US dollars demonstrates the limitations of Chinese efforts to internationalize the renminbi, as well as the impact of a highly imbalanced global political economy that has allowed China to run current-account surpluses for decades, creating massive US dollar reserves. China's willingness to lend to global South countries, and the interest rates set by its policy banks, therefore depend on monetary policy decisions taken in the US. Low interest rates in the US made lending to sovereign borrowers attractive as yields on traditional investment options, like US Treasury bonds, were low. While China has increasingly shifted to lending in renminbi, this has been mainly in the form of central bank currency swaps—rescue loans designed to manage debt problems created by earlier lending. Rather than expand Chinese lending to sovereign borrowers, the shift to renminbi has been part of China's downscaling and the adoption of a more risk-averse approach.[105] China's changed approach to sovereign lending suggests that Chinese policy-makers recognize the limits of their own international development model.

Second, the Sri Lanka case shows the significance of domestic political circumstances in mediating international financial subordination. Since Chinese loans follow recipients' requests, domestic socio-political relations shape whether they are used to bolster an economy's productive capacity or build 'white elephants', and whether borrowers can direct sufficient resources towards repaying external creditors when shifting global liquidity conditions or declining export receipts make repayment harder. In Sri Lanka, keeping domestic coalitions together meant directing borrowing towards unproductive investment, while repaying external creditors has proven politically unfeasible given the weakness of exports.[106] While other countries' governments may successfully weather a global liquidity crunch

in economic recovery program', 18 Nov. 2024, https://pmd.gov.lk/news/president-dissanayake-urges-imf-to-strike-a-balance-in-economic-recovery-program.

[104] See Alami et al., 'International financial subordination'.

[105] Parks et al., 'Belt and Road reboot'.

[106] Nicholas and Nicholas, 'An alternative view'.

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or downturn in exports, the costs of adjustment are typically imposed on society's weakest. Indeed, though in the current wave of debt distress most countries have so far avoided defaulting on their external debt, this has been at the cost of savage cuts to public spending with detrimental impacts on crucial services.[107] In sum, notwithstanding the appearance of competition between China and traditional providers of development finance, borrowing countries' options are as constrained as ever.

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[107] Thomas Stubbs, et al., 'The return of austerity imperils global health', *BMJ Global Health* 8: 2, 2023, https://doi.org/10.1136/bmjgh-2022-011620.